[2] **The *New York Times,* January 7, 1973, special "Economic Survey" section, pp. 2, 19, 44.**

[3] **Press release, "It's a good time to be in the market, says R. M. Leary & Company," December 3, 2001.**

[4] **You would also have saved thousands of dollars in annual subscription fees (which have not been deducted from the calculations of these newsletters' returns). And brokerage costs and short-term capital gains taxes are usually much higher for market timers than for buy-and-hold investors. For the Duke study, see John R. Graham and Campbell R. Harvey, "Grading the Performance of Market-Timing Newsletters," *Financial Analysts Journal,* November/December, 1997, pp. 54–66, also available at www.duke.edu/ ˜charvey/research.htm.**

[5] **For more on sensible alternatives to market timing—rebalancing and dollar-cost averaging—see Chapters 5 and 8.**

[6] **Carol J. Loomis, "The 15% Delusion," *Fortune,* February 5, 2001, pp. 102–108.**

[7] **See Jason Zweig, "A Matter of Expectations," *Money,* January, 2001, pp. 49–50.**

[8] **Louis K. C. Chan, Jason Karceski, and Josef Lakonishok, "The Level and Persistence of Growth Rates," National Bureau of Economic Research, Working Paper No. 8282, May, 2001, available at www.nber.org/papers/ w8282.**

[9] **Almost exactly 20 years earlier, in October 1982, Johnson & Johnson's stock lost 17.5% of its value in a week when several people died after ingesting Tylenol that had been laced with cyanide by an unknown outsider. Johnson & Johnson responded by pioneering the use of tamper-proof packaging, and the stock went on to be one of the great investments of the 1980s.**

[10] **For the observation that it is amazingly difficult to remain on the *Forbes* 400, I am indebted to investment manager Kenneth Fisher (himself a *Forbes* columnist).**

[11] **In the late 1990s, the forecasts of "market strategists" became more influential than ever before. They did not, unfortunately, become more accurate. On March 10, 2000, the very day that the NASDAQ composite index hit its all-time high of 5048.62, Prudential Securities's chief technical analyst Ralph Acampora said in *USA Today* that he expected NASDAQ to hit 6000 within 12 to 18 months. Five weeks later, NASDAQ had already shriveled to 3321.29—but Thomas Galvin, a market strategist at Donaldson, Lufkin & Jenrette, declared that "there's only 200 or 300 points of downside for the NASDAQ and 2000 on the upside." It turned out that there were no points on the upside and more than 2000 on the downside, as NASDAQ kept crashing until it finally scraped bottom on October 9, 2002, at 1114.11. In March 2001, Abby Joseph Cohen, chief investment strategist at Goldman, Sachs & Co., predicted that the**